HH 220-26
Ref Case No ITC7-22
& FA8-22

WOODTHORPE INVESTMENTS [PVT] LTD
t/a BATHROOM BOUTIQUE
versus
ZIMBABWE REVENUE AUTHORITY

SPECIAL COURT FOR INCOME TAX APPEAL
& FISCAL APPEALS COURT

MAFUSIRE J
HARARE, 14 November 2025

Assessor: Mrs R. G. Kangai

Date of judgment: 10 March 2026

Income tax & fiscal appeals

Mr I. Madzoka, with him, *Mr J. Muchada*, for the appellant
Mr S. Bhebhe, for the respondent

MAFUSIRE J

a Introduction

[1] These are two cases in one. The one is an income tax appeal. The other is a fiscal appeal. They were heard together by agreement with the parties. Both arose out of the same assessments pursuant to an audit by the respondent in respect of the appellant's tax affairs for the period April 2019 to June 2021.

[2] The income tax appeal is brought under s 65 of the Income Tax Act [*Chapter 23:06*] ("the ITA"). The fiscal appeal is brought under s 33 of the Value Added Tax Act [*Chapter 23:12*] ("the VATA").

[3] Although the appeals are distinct in form and arise under different statutes, the disputes share a single factual spine.

[4] The appellant is a private company. It is engaged in the retail sale of bathroom ware, tiles and related products. It operates shops in Harare and Bulawayo. Its head office is in Bulawayo. The respondent is the central collector of revenue for Government through a diverse range of taxes. It is an administrative authority established in terms of the Revenue Authority Act [*Chapter 23:11*]. Among other things, it is reposed with the power to assess and collect income tax, value added tax and several other taxes in terms of a diverse range of statutes.

[5] In the discharge of its statutory mandate, the respondent conducts periodic audits on registered operators and taxpayers to check on their tax compliance. It was pursuant to one such audit conducted on the appellant's affairs that the assessments now under challenge were raised.

b The facts

[6] On 27 September 2019, Zimbabwe migrated from the multi-currency system to a mono-currency regime, with the Zimbabwean dollar (ZWL) being the sole legal tender. During this regime, from 27 September 2019 to 29 March 2020, the appellant's goods were covered by the definition of *'domestic transactions'* in the relevant statutory instruments. Therefore, they could only be sold in local currency.

[7] In December 2019, following the publication by the Reserve Bank of Zimbabwe ("RBZ") of regulatory guidelines governing the operation of Bureau De Changes ("BDCs"), which permitted the operation of in-store BDCs, the appellant entered into a written agreement with FMC Smart Exchange (Private) Limited ("FMC"), a licensed bureau de change.

[8] In terms of that agreement, FMC established and operated in-store bureau de change facilities inside the appellant's retail premises. FMC personnel were stationed either adjacent, or in close proximity to the appellant's own cashier points, sharing operational space within the stores.

[9] The operational sequence, as established by the evidence and the audit findings, was that a customer wishing to purchase goods priced in local currency, but holding foreign currency, would first select the goods and be issued with a quotation or sales order reflecting the prices in local currency. The customer would then be directed to the FMC desk, where he or she tendered the foreign currency equivalent to the quoted price of the goods. FMC would issue a payment instruction or confirmation, which the customer returned to the appellant's cashier in order to collect the goods which were invoiced in local currency.

[10] At the conclusion of certain business days, FMC would sell and transfer the foreign currency amounts into the appellant's Nostro account.

[11] The mono-currency regime ended on 29 March 2020 through SI 85/2020[1]. This instrument brought back the general use of foreign currency and marked the beginning of the multi-currency regime.

[12] Upon the publication of SI 85/2020 aforesaid, the appellant's head office in Bulawayo migrated from selling goods in local currency to multi-currency while the two satellite branches in Harare continued the arrangement with FMC.

[13] The respondent later audited the appellant's income tax and value added tax ("vat") affairs for the period 1 January 2020 to 30 June 202. It concluded that the appellant's arrangement with FMC constituted a scheme of impermissible tax avoidance. Consequently, the respondent invoked its powers under s 98 of the ITA and s 77(2) of the VATA. It disregarded the arrangement and recharacterized all the forex sold by FMC to

[1] Exchange Control (Exclusive Use of Zimbabwe Dollar for Domestic Transactions) (Amendment) Regulations, 2020 (No. 2)

the appellant as the latter's revenue from sales of goods in foreign currency. It taxed it accordingly.

c Appellant's case

[14] The appellant denies that its agreement with FMC was a sham and avers that it was a scheme in a broad sense. Its case is this. FMC was a licensed in-store BDC. It operated independently. The arrangement was sanctioned by the RBZ guidelines. The appellant sold goods in local currency and issued local currency invoices. Customers who held foreign currency did not pay the appellant foreign currency for the goods. They sold their foreign currency to FMC. FMC then paid the appellant local currency, or its foreign currency equivalent. In addition, some customers made outright local currency purchases without recourse to the in-store BDCs.

[15] The appellant called two witnesses. Both of them were its employees at the relevant time. The respondent led no *viva voce*. It relied on the documentary material and the inferences to be drawn from the factual matrix.

[16] The appellant's first witness was Ms Merryl Herbst ("Herbst"). She worked in the accounts and bills-paid division. Her evidence was directed primarily at distancing the appellant from the operational activities of the bureau de change operating within its premises.

[17] Herbst testified that she was not aware of any relationship between the bureau de change ("BDC") and the appellant beyond the existence of a rental arrangement, and that, from her perspective, the two entities operated independently of each another.

[18] The appellant's second witness was Mr Ross Raymond ("Raymond"). He was the Branch Manager at its Msasa branch. He testified that customers would first obtain a local-currency quotation from the appellant's till operators, proceed to FMC to exchange their

foreign currency, and then return with proof of payment upon which a local-currency invoice would be issued and the goods released to the customer.

[19] Raymond further stated that at the relevant time, the Harare branches were instructed by Head Office not to accept foreign currency directly, and that only the Bulawayo branch would accept foreign currency for purchases. The customer would leave the store with the goods and a local-currency invoice. FMC retained the foreign currency. The appellant regarded itself as having made a local-currency sale.

[20] On the evidence, the appellant argued that no foreign currency "accrued" to the appellant as trading income. It was entitled only to the local-currency price under its sales contracts. If the appellant later acquired foreign currency, it did so by purchasing it from FMC (as it would from any BDC), using local currency derived from sales and other sources.

[21] The appellant argues that the respondent's anti-avoidance powers could not have been triggered by such an arrangement. Even if one called the arrangement a "scheme" in the broad sense, the other jurisdictional facts were absent. There was no tax benefit. There was no abnormality in the relevant statutory sense. And the main purpose was not to obtain a tax benefit.

[22] The appellant further argues that in vat terms, the "consideration" for the supply of goods was local currency. The appellant did not "receive" vat in foreign currency. The respondent may only invoke the general anti-avoidance provisions where the statutory jurisdictional facts are strictly satisfied.

[23] On the penalties, the appellant's case is that penalties presuppose culpability. Here the appellant acted under RBZ-permitted operational arrangements and on a defensible interpretation of the tax law. The penalty should be set aside or reduced.

d Respondent's case

[24] The respondent's case was this. The appellant's paper architecture of the local currency sales was cosmetic. In substance, customers walked in with foreign currency, left with goods, and FMC deposited foreign currency into the appellant's Nostro account. That is foreign currency trading. The arrangement between the appellant and the in-store bureau de change constituted a scheme whose substance was the sale of goods in foreign currency, notwithstanding the local-currency invoicing.

[25] The respondent further argues that FMC acted as the appellant's collecting arm or its agent *per se*. It received foreign currency for the appellant's goods and remitted it to the appellant. There is no credible trail of local currency being paid out to customers and then paid over to the appellant.

[26] The respondent characterizes the appellant's arrangement with FMC as abnormal on the basis that the bureau de change charged no commission on the foreign currency sold to the appellant. Such an arrangement lacked commercial rationality. For that reason, the application of s 98 of the ITA and s 77 of the VATA were triggered. This scheme was an avoidance of foreign currency tax remittance abnormality which was not at arm's length the main purpose for which was to obtain a tax benefit.

[27] On "accrual" and "receipt", the respondent argues that the appellant was entitled to the foreign currency value of the sales. Alternatively, even if the appellant did not physically touch the foreign currency at point of sale, it was dealt with "in its name or on its behalf" when FMC deposited foreign currency in the appellant's Nostro Account. Thus, the foreign currency is deemed to have accrued as contemplated by s 10(1)(*c*) of the ITA.

[28] The respondent contends that the foreign currency tendered by customers accrued to, or was received on behalf of, the appellant because it was deposited into the appellant's Nostro account, thereby rendering the appellant liable to income tax and vat in foreign currency.

[29] The respondent urges the court to look beyond form and documentation, reconstruct the arrangement as a foreign-currency sale, and uphold the assessments and penalties issued.

[30] On penalties, the respondent contends that the conduct of the appellant was deliberate or, at minimum, gross negligence, and that deterrence is essential for the integrity of the revenue collector's self-assessment system.

e Issues for determination

[31] In the income tax appeal, the issues for determination are:

i/ whether or not the arrangement between the appellant and the in-store bureau de change constituted a scheme contemplated by s 98 of the ITA;

ii/ whether or not the bureau de change received foreign currency on behalf of the appellant so that such income is deemed accrued to the appellant in terms of section 10(1)(*c*) of the ITA; and

iii/ whether or not the imposition of the 20% penalty was justified.

[32] In the fiscal appeal, the issues for determination are:

i/ whether or not the appellant entered into a scheme envisaged by s 77 of the VATA to avoid paying vat in foreign currency, and if not;

ii/ whether or not the consideration for goods supplied was in foreign currency and whether or not the appellant received payment in foreign currency for vat purposes, and

iii/ whether or not the penalty imposed should be set aside or reduced.

[33] In a nutshell, the appeals require the court to decide whether, through the in-store bureau de change arrangement, the appellant, in substance, traded in foreign currency such that

foreign-currency income accrued to it as "deemed" under section 10(1)(*c*) of the ITA and foreign-currency consideration was received for vat purposes, and whether that arrangement constituted a tax-avoidance scheme under s 98 of the ITA and s 77 of the VATA so as to justify the additional assessments and the imposition of the 20% penalty.

f The statutory framework

[34] In September 2019, the Government of Zimbabwe promulgated SI 212 of 2019[2] which reintroduced a mono-currency regime and designated the Zimbabwe dollar as the sole legal tender for domestic transactions. Section 4 of that instrument prohibited the pricing, charging and settlement of goods and services in foreign currency, save where expressly permitted by law or by the RBZ.

[35] Pursuant to SI 212/2019 aforesaid, on 12 December 2019, the RBZ, acting in terms of s 35(1) of the Exchange Control Regulations, SI 109 of 1996, issued some guidelines for the operation of bureaux de change[3]. Of importance to these appeals is that the guidelines contemplated bureaux de change operating as independent in-store dealers in foreign currency, buying and selling currency for a commission, ostensibly to provide access for retail importers to buy foreign currency and enhance public convenience by providing formal, accessible channels for small-scale currency transactions.

[36] The regulatory landscape changed again on 29 March 2020, when the mono-currency regime was terminated by SI 85/2020 aforesaid. That instrument restored the multi-currency regime and expressly allowed goods and services to be priced and paid for in foreign currency. From that date, retailers were lawfully entitled to receive foreign currency directly from customers in settlement of sales.

[2] Exchange Control (Exclusive Use of Zimbabwe Dollar for Domestic Transactions) Regulations, 2019.
[3] Operational Guidelines for Bureaux De Change.

[37] Section 98 of the ITA is the general anti-avoidance provision. It empowers the respondent's Commissioner to disregard or recharacterize any *transaction, operation or scheme* which has the effect of avoiding, postponing or reducing tax, where the Commissioner forms the opinion that the scheme was entered into by abnormal means or created rights and obligations not ordinarily created between parties dealing at arm's length, and that the tax benefit was the sole or one of the main purposes of the arrangement. The provision reads, highlighted portions signifying the core elements:

> "**98 Tax avoidance generally**
> Where any t**ransaction**, **operation or scheme** (including a transaction, operation or scheme involving the alienation of property) has been entered into or carried out, which has **the effect of avoiding or postponing liability for any tax or of reducing the amount of such liability**, and which in the opinion of the Commissioner, having regard to the circumstances under which the transaction, operation or scheme was entered into or carried out—
> (*a*) was entered into or carried out by means or in a manner **which would not normally be employed** in the entering into or carrying out of a transaction, operation or scheme of the nature of the transaction, operation or scheme in question; or
> (*b*) has created rights or obligations **which would not normally be created between persons dealing at arm's length** under a transaction, operation or scheme of the nature of the transaction, operation or scheme in question;
> and the Commissioner is of the opinion that the avoidance or postponement of such liability or the reduction of the amount of such liability **was the sole purpose or one of the main purposes** of the transaction, operation or scheme, the Commissioner shall determine the liability for any tax and the amount thereof as if the transaction, operation or scheme had not been entered into or carried out, or in such manner as in the circumstances of the case he considers appropriate for the prevention or diminution of such avoidance, postponement or reduction."

[38] Paraphrased, s 98 of the ITA has four essential elements, all of which must be present before the provision may be invoked, namely:

i/ the existence of a ***transaction, operation or scheme***,

ii/ the ***tax effect*** of avoiding, postponing or reducing liability for income tax,

iii/ objectively, an ***abnormality or no arm's length dealing***, and

iv/ a ***sole or dominant tax-avoidance*** purpose**.**

[39] Once the respondent's Commissioner forms the requisite opinion, the burden rests on the taxpayer to displace it.

[40] Section 77 of the VATA is an analogous provision in the sphere of vat. It authorises the Commissioner to counteract:

i/ any ***scheme*** that confers

ii/ a ***tax benefit*** where, having regard to its substance, it was carried out

iii/ in a manner ***not normally employed*** for *bona fide* business purposes or created rights and obligations that would not normally be created between person dealing at arm's length, and

iv/ was ***entered into mainly or solely to obtain a vat*** **advantage.**

[41] Relevant portions of s 77 of the VATA read, highlighted portions also signifying the core elements:

> "**77 Schemes for obtaining undue tax benefits**
> (1) For the purposes of this section—
> "scheme" includes …. …. ….
> "tax benefit" includes—
> (*a*) any reduction in the liability of any person to pay tax; or
> (*b*) any increase in the entitlement of any registered operator to a refund of tax; or
> (*c*) any reduction in the consideration payable by any person in respect of any supply of goods or services; or
> (*d*) any other avoidance or postponement of liability for the payment of any tax, duty or levy imposed by this Act or by any other law administered by the Commissioner.
> (2) Notwithstanding anything in this Act, whenever the Commissioner is satisfied that any **scheme**, whether entered into or carried out before or after the 1st January, 2004, and including a scheme involving the alienation of property—
> (*a*) has been entered into or carried out which has the **effect of granting a tax benefit** to any person; and
> (*b*) having regard to the substance of the scheme—

> (i) was entered into or carried out by means or in **a manner which would not normally be employed** for *bona fide* business purposes, other than the **obtaining of a tax benefit**; or
> (ii) has created rights or obligations which would **not normally be created between persons dealing at arm's length**; and
> (*c*) was entered into or carried out **solely or mainly for the purpose of obtaining a tax benefit**; the Commissioner shall determine the liability for any tax imposed by this Act, and the amount thereof, as if the scheme had not been entered into or carried out, or in such manner as in the circumstances of the case he deems appropriate for the prevention or diminution of such tax benefit."

[42] Central to the vat enquiry is the concept of **consideration**. Section 2(1) of the VATA defines "***consideration***", in respect of the supply of goods or services, to include "***any payment made … …, whether in money or otherwise … … in respect of … … the supply of any goods or services …"***. Consideration therefore, broadly includes any payment, in money or otherwise, made in respect of a supply. Vat is transaction-based. It is not the movement of money alone that attracts vat, but the receipt of consideration for a taxable supply.

[43] Accordingly, the enquiry is whether the consideration for the appellant's supplies was foreign currency, and whether that foreign currency was received by the appellant, either directly or through an intermediary acting on its behalf.

[44] Section 10 of the ITA is a deeming provision. It brings into the concept of "gross income" of s 8 amounts which, although not actually received or accrued in the ordinary sense, are statutorily treated as having accrued to the taxpayer under defined special circumstances.

[45] "**Amount**" is defined in s 2 of the ITA as (a) ***money;*** or (b) any ***other property, corporeal or incorporeal, having an ascertainable money value***;

g Legal analysis

[46] "***Received***" and "***accrued***" are settled judicial concepts. *"**Accrued to**"* has consistently been interpreted as meaning to be *unconditionally entitled to*. In *Lategan v CIR* 1926 CPD 203, WATERMEYER J held that income accrues when the taxpayer becomes unconditionally entitled to it, even if payment is deferred. That approach has been followed in subsequent authorities, including *CIR v People's Stores (Walvis Bay) (Pty) Ltd* 1990 (2) SA 353 (A).

[47] ***"Received"*** connotes actual receipt for the taxpayer's own behalf and benefit. It requires more than the mere physical handling of funds by a third party. Where money is received by an agent on behalf of a taxpayer, receipt may be imputed to the principal. Conversely, where funds are received by an independent third party for its own account, receipt is not readily attributed to another.

[48] In these two appeals, the central question is whether the appellant, through a deliberately structured commercial arrangement involving a licensed bureau de change operating within its retail premises, sold goods in foreign currency while presenting those transactions as local currency sales for tax purposes, thereby avoiding or reducing its liability to remit income tax and vat in foreign currency.

h Synthesis

[49] At the time the impugned structure was introduced, domestic transactions were governed by the aforesaid SI 212/ 2019 which reinstated a mono-currency regime and prohibited the pricing and settlement of goods and services in foreign currency, and the aforesaid RBZ guidelines on the operations of bureaux de change.

[50] The regulatory position shifted on 29 March 2020 with the promulgation of SI 85/2020, which restored the multi-currency trading system. From that date, retailers were lawfully entitled to receive foreign currency directly from customers.

[51] The respondent places considerable weight on the continuation of the in-store bureau de change arrangement after SI 85/202, contending that it served no commercial purpose and must therefore be viewed as a device to avoid foreign-currency taxation.

[52] In my view, that submission overstates the legal effect of SI 85 of 2020. The instrument neither outlawed bureaux de change nor prohibited their continued operation. Furthermore, it did not compel retailers to restructure their payment models. Undoubtedly, commercial actors remained at liberty to choose business models that suited their operational, compliance or risk considerations. The mere retention of an arrangement beyond a regulatory change did not, without more, transmogrify it into an avoidance scheme. Taxpayers are entitled to organise their affairs in a tax-efficient manner, provided they do so within the law: see *Duke of Westminster v IRC* [1936] AC 1; *CIR v King* 1947 (2) SA 196 (A).

[53] The respondent's argument that the continuation of the appellant's arrangement with FMC beyond March 2020 automatically transmuted all foreign currency deposits into "cash forex sales" by the appellant finds no express footing in either the ITA or the VATA.

[54] This is all the more so where the very same mode of operation had previously been relied upon to demonstrate the appellant's compliance with SI 212/ 2019 during the mono-currency period. An arrangement sanctioned, or at least tolerated, as compliant (for local currency sales only) under one regulatory regime cannot, without a clear statutory injunction or demonstrable change in legal character, be re-labelled as wrongful solely by reason of regulatory evolution.

[55] Section 98 of the ITA and s 77 of the VATA require the coexistence of four elements highlighted above, namely [i] a transaction or scheme, [ii] a tax effect, [iii] an

abnormality not consonant with an arm's-length deal, and [iv] a dominant tax-avoidance purpose: see *H Bank Limited v Zimbabwe Revenue Authority* 2015 (1) ZLR 1007 (H); A v *Commissioner of Taxes* 1985 (2) ZLR 223 (HC) at 232F-233B and *Secretary for Inland Revenue* v *Geustyn, Forsyth & Joubert* 1971 (3) SA 567 (A) at 571E-H.

[56] In the present appeals, the first requirement – the existence of a transaction, operation or scheme – is easily satisfied. The arrangement between the appellant and the bureau de change was undoubtedly a scheme, albeit in the wider sense. The appellant admits as much.

[57] With regards to the second requirement – the tax effect, namely the avoidance, postponement or reduction of tax – the respondent asserts that the effect of the appellant's arrangement with FMC was to avoid a foreign-currency tax. However, this assertion assumes that foreign-currency tax was otherwise legally exigible or leviable. That assumption depends on whether foreign-currency income accrued to the appellant in the first place. The tax-effect enquiry therefore, cannot be divorced from the "accrual" and "receipt" analysis under s 10 of the ITA. I will revert to this point later on in the judgment.

[58] For the next enquiry – an abnormality not consonant with an arm's-length deal – the respondent relies heavily on perceived commercial oddities, including [i] an absence of commission charged to customers, [ii] no evidence of local currency received from FMC and [iii] the routing of all the foreign currency into the appellant's Nostro account.

[59] The appellant's response to that is that nothing about the FMC arrangement was "abnormal" in the sense contemplated by s 98 of the ITA or s 77(2)(*b*) of the VATA because FMC was an independent, licensed bureau de change (as required by the RBZ guidelines) and operating under a valid written agreement accepted by the respondent, and that the parties dealt at arm's length.

[60] The appellant asserts further that the agreement in question created only ordinary commercial rights and obligations, namely that the tenant pays rent; the bureau de change buys and sells forex within the 5% margins of the RBZ; and that all foreign currency sales and commissions were documented. It argues that the appellant buys foreign currency on a need basis, deposits it into its Nostro account and that none of all that is unusual for a *bona fide* business purposes.

[61] The court's analysis is that the in-store bureau de change operated under the RBZ guidelines, within a framework expressly contemplated, indeed authorised by the regulator. This substantially undermines the conclusion that the arrangement was, of itself and without more, "abnormal" in the sense contemplated by s 98 of the ITA and s 77(2)(*b*) of the VTA. The issue of payment instructions is addressed later on in this judgment.

[62] As for the fourth or last enquiry – the tax avoidance being the main or dominant tax-avoidance purpose – the Commissioner must form the opinion that the avoidance of tax was the sole or one of the main purposes of the scheme. Plainly, "purpose" must be assessed objectively, having regard to all the surrounding circumstances.

[63] The respondent's position is that, on an objective assessment of the facts, the arrangement in question was entered into with the sole or, at least, one of the main purposes being the avoidance, reduction or postponement of the appellant's foreign-currency tax liability. It contends that the continuation of the arrangement after March 2020, when direct foreign-currency trading had become lawful, coupled with the absence of any genuine commercial remuneration to FMC, and the lack of corresponding local-currency payments for the foreign currency deposits, point irresistibly to a tax-driven purpose.

[64] The respondent further submits that a taxpayer's professed intent is not decisive and must yield to the probabilities and inferences drawn from the objective facts. On that footing, it

maintains that the Commissioner was entitled to form the opinion that the arrangement was not arm's length and that it was designed to secure an impermissible tax advantage.

[65] The appellant's response is that the arrangement was conceived and implemented for *bona fide* commercial reasons, namely to provide in-store foreign-exchange services to customers during the mono-currency regime and to enhance convenience, security and sales, not to avoid tax. It emphasises that when the agreement was entered into, the sale of goods in foreign currency was unlawful, so there could have been no intention to avoid a foreign-currency tax obligation that did not exist.

[66] Regarding the continuation of the arrangement after March 2020, the appellant explains that this was informed by a legitimate business choice, driven by operational readiness, security considerations and phased migration to multi-currency trading, rather than by tax considerations. On that footing, the appellant contends that the dominant purpose of the arrangement remained commercial throughout, and that s 98 of the ITA and s 77 of the VATA are not applicable.

[67] In the court's view, the respondent's difficulty is that the arrangement is equally explicable by regulatory compliance and operational convenience during a volatile currency environment. Where a transaction is capable of a *bona fide* commercial explanation, s 98 cannot readily be invoked: see *CIR v King* (*supra*); ITC 1185 (1972) 35 SATC 122.

[68] Even if the arrangement yielded incidental tax advantages, on the facts of the present cases and the law, it cannot be inferred that tax avoidance constituted the main or dominant purpose of the arrangement, or that the arrangement was abnormal or artificial so as to give rise to a tax benefit. Both elements can be equally consonant with the regulatory requirements of the time. Accordingly, the respondent's argument on s 98 of the ITA and s 77 of the VATA is not sustainable.

[69] The respondent is entitled and obliged to collect taxes in the currency of the trade. In this regard, s 4A of the Finance Act [*Chapter 23:04*] is relevant. It provides that a company, trust, pension fund or other juristic person whose taxable income is earned, received or accrued in whole or in part in a foreign currency shall pay tax in the same or another specified foreign currency on so much of that income as is earned, received or accrued in that currency.

[70] Similarly, s 38 of the VATA provides in part that where a registered operator receives payment of any amount of tax in foreign currency in respect of the supply of goods or services, that operator shall pay that amount to the Commissioner in foreign currency.

[71] Thus, by virtue of s 4A of the Finance Act, and s 38 of the VATA, the respondent's Commissioner is required to collect tax in the currency in which the underlying transaction is conducted. The decisive enquiry in this case therefore, is the identification of the currency that constituted the income and consideration for the supply of goods. The respondent contends that the transactions were, in substance, foreign-currency transactions, while the appellant, on the other hand, maintains that the supplies were effected in local currency, with any foreign-currency dealings occurring in separate and independent exchange transactions.

[72] The respondent's position is that, in substance, the appellant sold its goods in foreign currency and was entitled to that foreign currency, which was received on its behalf by the in-store bureau de change. It contends that customers did not genuinely exchange foreign currency for local currency but paid foreign currency to FMC as part of a single transaction for the purchase of the appellant's goods, with the foreign currency ultimately credited to the appellant's Nostro account. On that basis, the respondent argues that foreign-currency income accrued to the appellant under section 10(1)(*c*) of the ITA and that the consideration for vat purposes was foreign currency, rendering both income tax and vat payable in foreign currency.

[73] *Per contra*, the appellant maintains that FMC was an independent bureau de change, operating as a tenant under RBZ guidelines, and received foreign currency on its own account, not on behalf of the appellant. Customers first sold foreign currency to FMC in a lawful exchange transaction and thereafter purchased the appellant's goods in local currency, which was what accrued to the appellant.

[74] The appellant argues further that the foreign currency only came into its possession through separate, subsequent purchases from FMC using local-currency proceeds, and thus did not accrue or get received by it as contemplated under s 10(1)(*c*) of the ITA. For VAT purposes, the consideration for the supply of goods was local currency under the governing sales contracts, and the appellant neither received nor was entitled to foreign currency as consideration for those supplies.

[75] It should be noted that s 10 of the ITA is not a charging provision. The charging provision is s 6, as read with other provisions. Section 10 does not create income. It is s 6, as read with other provisions, that does. Section 10 deems income to have accrued in defined circumstances where accrual would otherwise be disputed. Its operation presupposes the prior identification of "gross income" that is not capable of ordinary accrual to a taxpayer in terms of s 8 of the ITA. Section 10 deems such income to have accrued to the taxpayer.

[76] The respondent argues that regarding the appellant/FMC arrangement, there was a deemed accrual when ownership passed once the customers walked out of the door with the bathtub, as the appellant became entitled "to the USD100-00". However, that formulation, with respect, illustrates the difficulty at the heart of the respondent's case. It conflates *actual accrual* under section 8 of the ITA with *deemed accrual* under section 10, and in doing so obfuscates the statutory enquiry.

[77] In its ordinary tax sense, "accrual" in s 10 of the ITA and in relation to "gross income" under s 8, means that income accrues when the taxpayer becomes unconditionally

entitled to it. This position is settled: see *Lategan* and *CIR v People's Stores (Walvis Bay) (Pty) Ltd* referred to above. Therefore, once income has accrued under s 8 of the Act, there can be no room for deeming it again under s 10. Section 10 refers to special circumstances where income has not been physically received but has been credited, capitalised, invested or otherwise dealt with in the taxpayer's name or on the taxpayer's behalf.

[78] When the respondent asserts that the appellant became entitled to the USD100 upon delivery of the bathtub, it is invoking s 8 of the ITA and the concept of entitlement as articulated in *Lategan*. But the foreign currency paid by customers to FMC did not "remain due and payable" to the appellant. Neither was it credited, capitalised or otherwise dealt with in the appellant's name at the point of sale and delivery of the goods. FMC received the foreign currency as purchaser in a separate exchange transaction, acquiring ownership and bearing risk on it. The appellant only acquired foreign currency later, through independent purchase transactions conducted on a willing-buyer willing-seller basis.

[79] The respondent uses the phrase "deemed accrual" to describe what it simultaneously characterises as entitlement. This is legally untenable. One cannot deem accrued that which has already accrued (*once the customers walked out of the door*…as the respondent puts it). The statute separates accrual in the gross income definition of s 8, from deemed accrual of s 10.

[80] The respondent has also placed emphasis on the use of payment confirmations or instructions issued by FMC to customers. It argues that these instruments were not a currency but evidence of payment of foreign currency for the appellant's goods. It may well be that the use of such confirmations fell outside, or even breached, certain operational directives contained in the RBZ guidelines governing bureaux de change.

However, that would be a regulatory question between FMC and the RBZ. It is not determinative of the tax enquiry before the court.

[81] For the present cases, what matters is that neither the ITA nor the VTA confines "amount" or "consideration" to physical currency. The statutory definitions are broad. Under the ITA, an "amount" includes money or any property, corporeal or incorporeal, having an ascertainable money value. Likewise, under the VATA, "consideration" encompasses any payment made, whether in money or otherwise, including acts, forbearances, or instruments evidencing payment.

[82] Therfore, the mere fact that payment to the appellant was evidenced through FMC-issued payment confirmations or vouchers does not, without more, transmogrify the underlying consideration into foreign currency. Manifestly, in law, such instruments are capable of representing local-currency payments, just as they are capable of representing other incorporeal forms of value. The statutory enquiry is not defeated by the medium through which payment is evidenced, but rather turns on the substance of the obligation discharged.

[83] Whether or not FMC complied strictly with the RBZ's operational directives neither answers the anterior question of what the appellant was entitled to receive under its contracts of sale, nor what constituted consideration for VATA purposes. On the evidence, that consideration remained local currency, however evidenced.

[84] In short, the respondent's assessments are the product of inference layered upon assumption, and assumption upon misapplied law. When the statutory provisions are properly construed and applied to the facts, the foundation for the additional income tax and vat assessments, together with the attendant penalties, falls away.

[85] Perhaps, the respondent's position is understandable. Undoubtedly, it was driven by a strong intuitive and instinctive sense that the arrangement in question was contrived to

achieve a tax advantage. However, given that tax is levied by statute, the respondent's Commissioner must bring the taxpayer squarely within the four corners of the statute. If the statutory language does not reach the impugned conduct, the assessment cannot stand, however unattractive the arrangement may appear: see *Partington v The Attorney-General* 21 LT 370, at 375 [English & Irish Appeals, Vol IV, p 100, at p 122], cited by DE VILLIERS JA in *Commissioner for Inland Revenue v George Forest Timber Co Ltd* 1924 AD 516, at pp 531 – 532:

i Disposition

[86] It is the considered view of this court that the respondent has failed to bring the appellant within the reach of either s 98 of the ITA or s 77 of the VATA. The arrangement between the appellant and the in-store bureau de change might have appeared unusual and necessarily led to the conclusion that the appellant was indirectly accessing foreign currency while presenting its sales as local-currency transactions. However, on closer analysis, that conclusion is not sustainable. Unusual or complex commercial structures are not, for that reason alone, tax avoidance schemes. The line is crossed only where the structure produces a tax benefit through abnormal means directed primarily at the fiscus. That threshold has not been crossed in the present matters. Therefore, the tax avoidance provisions of the ITA and VATA were wrongly invoked by the respondent.

[87] In the result, the appeals should succeed. The penalties, being parasitic on the validity of the tax and vat liabilities, also fall away. Regarding the question of costs of suit, this matter raised novel questions at the intersection of tax law and monetary regulation. In the exercise of the court's discretion, there should be no order as to costs. The following orders are hereby issued:

i/ The income tax and value added tax assessments issued by the respondent against the appellant for the tax period 1 January 2020 and 30 June 2021, are hereby set aside.

ii/ The penalty of 20 % is hereby set aside.

iii/ There shall be no order as to costs.



10 March 2026

Maguchu & Muchada, legal practitioners for the appellant
ZimRA's Legal Services Division, legal practitioners for the respondent